EAST VILLAGE HOTEL+ PROPOSAL

Hotel+ a redevelopment opportunity in East Village, Manhattan. Indents on acquiring the St Marks Hotel with the purpose of developing **Hotel+** a 6-story safe hotel with 60 keys. The hotel will include a fully functional restaurant on the ground floor and a rooftop garden on the 6th floor. East Village is a vibrant neighborhood, attracting both students and business professionals as the neighborhood has seen significant growth in demand for quality office space from a mix of finance, tech and fashion companies. The current hotel is located on the corner of St Marks Place and 3rd Ave and has a lot area of 6,216 square feet. With the floor area ratio (FAR) of 6, the Property allows for 37,296 square feet as of right. Pre-COVID19 the construction phase is anticipated to last 18-months and expects to reach stabilized occupancy within 6 months. The entire life of the investment opportunity will last 10 years. VMR Development estimates that it will sell Hotel+ after 12/31/2029 at a 5.25% exit cap rate. The levered IRR is estimated to be 10.5%. This investment would have a 2.44x equity multiple and a total profit of $96.9MM. This exit value is supported by recent sales comparables in the area for this type of product on a price per foot basis.

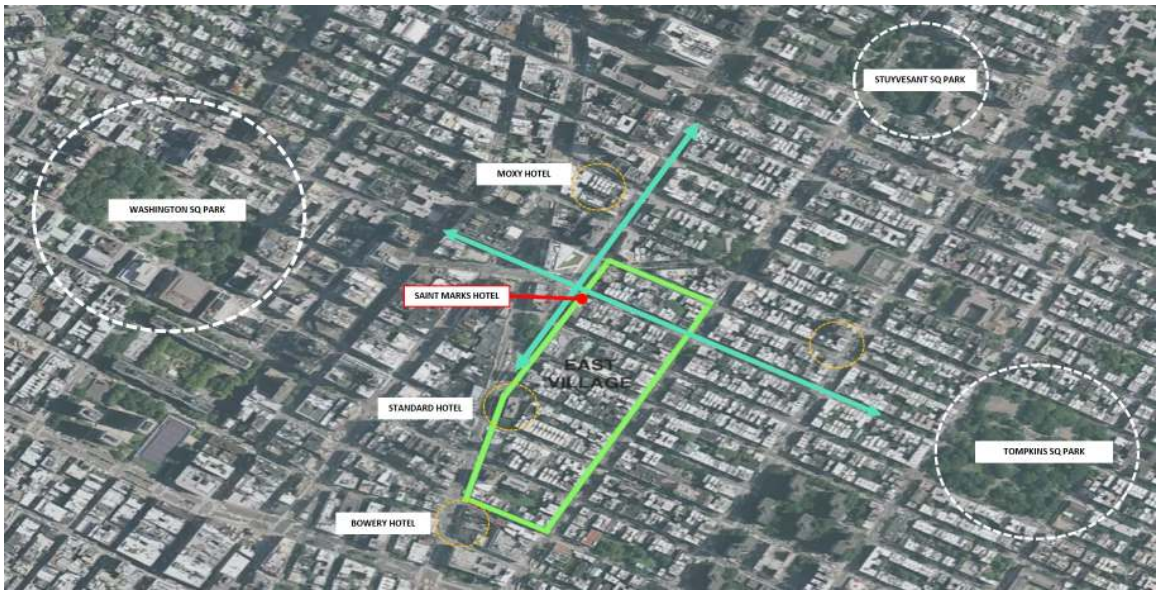
NYC Map



The East Village is bounded by the Bowery to the West, 14th Street on the North, the East River on the East, and Houston Street on the South. The neighborhood began as a melting pot of Irish and German immigrants. Italians and Eastern Europeans slowly joined in the early 1900s. As the years passed and the 70s approached, the East Village became known for its punk culture and gritty vibe, which brought many artists, musicians and students to the village. In the years since, much of the area has gentrified, and this trend continues. Throughout most

of its history, two prominent higher education institutions have exerted influence in the neighborhood, New York University and Cooper Union University (though the former much more than the later).
Excluding Alphabet City, the East Village's Central Place is located at Astor Place, where the 4/5/6 train stops (the Q/R/W is a block away). This plaza is a block from the hotel, which underscores the advantage of Hotel+ site. Including Alphabet City, the East Village's Central Place is likely Tompkins Square Park. However, most of the district's east side is residential and most of its highest commercial rents and hotels lie on the west side of the neighborhood, near our property. I view the East Village itself as a primary advantage of Hotel+. It has a reputation as being hip and young, maintains a unique history, is convenient to two higher education institutions, has a plethora of dining and entertainment options, strong transit connections and high walkability.

Typology



East Village property types range from multifamily, mixed use, residential, commercial and office buildings along with a slew of restaurants and bars. Due to the area being known as a more "affordable" neighborhood in Manhattan, the restaurants and bars have followed suite, in attempts to provide reasonably priced food and entertainment. Much of the specific area is targeted at the student culture. As a result, young adults and many students find this neighborhood as a trendy destination. Hotels and restaurants aren't the only commercial uses that lines the streets of East Village. The office & retail real estate market has seen stable growth over the past seven years. Office rentals average price per square foot consistently grew from 2013 to date. We saw a similar trend in the retail market of East Village. The average price per square

foot in 2013 was below the New York City average, but recently caught up and stabilized, hovering at the New York City average.

A major icon to New York City is the Village Voice newspaper, with its office located in Cooper Square. The 1906 John Wanamaker Annex stands tall known as the Marble Palace, it was once called by the New York Tribune “the proudest monuments of commercial enterprise in the country.” The ground lease for this building has K-MART taking up a large footprint of the building, following Bank of America and other clothing retail stores. The main office leases here are prominent in the social media work, finding Facebook, Tumblr, AOL support and the U.S Trust.

Which Industries are most Negatively Impacted?

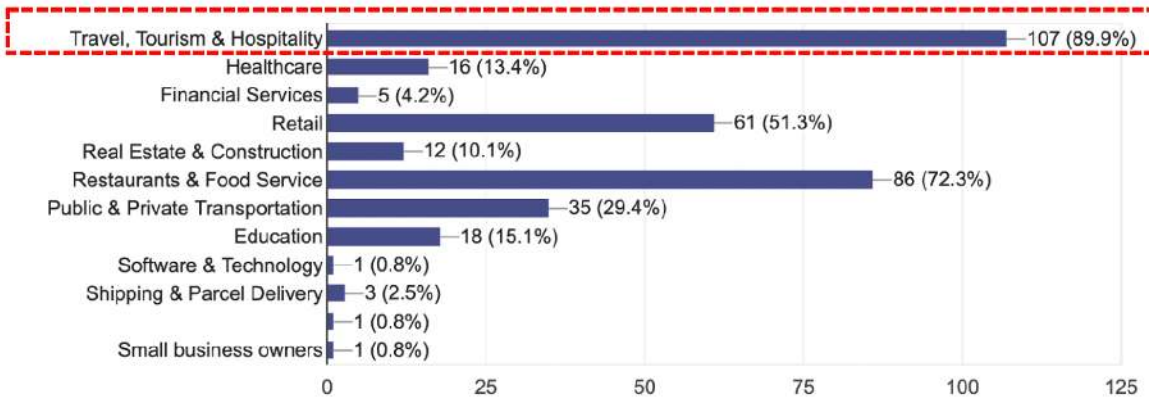
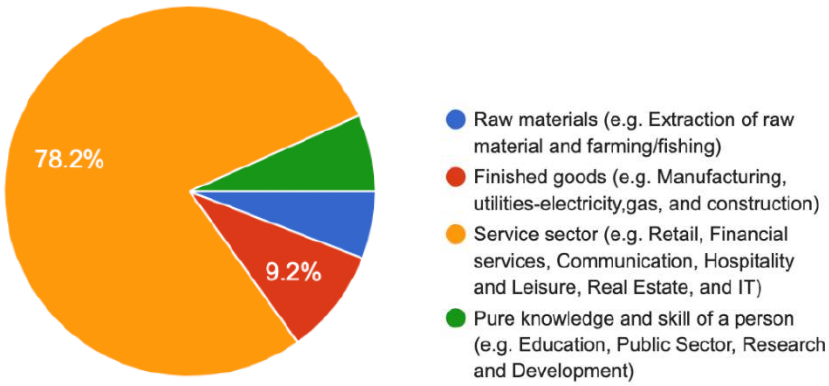


Figure 1Which Economic Sector has been most Negatively impacted?



In conclusion, the feasibility study of East Village shows that the prominent neighborhood has significant potential for continuing development while using the historic placement of many buildings. Saint Marks Hotel is a very primal location

for new development as the corner lot attracts many visitors, residents and students.

Zoning



71 Cooper Square 's location in the East Village is on the corner of Saint Marks Place and 3rd Avenue, with its designation block and lot 463 and Lot 7, respectively. The size's zoning district is C6-1, which is a general use zoning for large buildings that include office and various commercial uses.

I am proposing to develop a 6-story hotel that maximizes the allowable floor area ratio (FAR) according to NYC building code and zoning laws. This will be achieved via both maximizing the property's current FAR. The existing structure only uses 24,864 SF of its allowable 37,296 FAR (67%). The FAR gain more than offsets the potential cost savings of retaining and re-modelling the existing shell and remodeling over ground up construction. On the narrow 60-foot street known as "St Marks Place" (also 8th Street), the building will set back 15 ft and on the wide 100 ft street of 3rd avenue the building will set back 10 ft, this will happen after the 65 ft base height.

The site of 71 Cooper Square is a corner lot measuring 84 feet by 74 feet (6,216 total SF). It is free from any flood zones and falls within the East Village neighborhood, a historic district within New York City. The site does fall within the business improvement district (BID) a geographical area where stakeholders oversee and fund the maintenance, improvement, and promotion of their commercial district, which I view as a positive and potential partner in the development of the project. Daylight is a very important factor for any building and the building's corner lot will allow for large window openings on the north and west facades, and the buildings setbacks will allow the large safe suits and rooftop garden to have daylight on all four sides since the surrounding buildings will not be obstructing the views. We are at an enormous advantage to have the park on the west side of **HOTEL+** allowing for more natural daylight to come into the rooms.

The site's location is one of its main draws. It is adjacent to Cooper Union and its neighborhood is very popular as a residential and entertainment destination for NYU students and Faculty. Convenient rapid transit access is provided by (1) the 4/5/6 train line, 2 minute or 400 ft walk away; (2) the Q/R/W line, a 4 minute or 800 ft walk away; and (3) the L train, a 7 min or 1,500 ft walk away. Citi Bikes surround this area on 4th avenue, 6th East street, Saint Marks Place, and 11th East Street.

As of now, there are two main high-end hotels that visitors can occupy while passing through; The Bowery Hotel and The Standard Hotel. While both are beautiful and offer an upscale stay, they are on the more expensive side. For example, at The Standard Hotel, a room can be booked at cheapest, $255 (Standard Queen $255). This price may not be ideal for the majority of visitors. While the Saint Marks Hotel is certainly an option for lower cost stays, many tend to steer clear of the infamous hotel. Other hotels we intend on competing with are the East Village Hotel, the Ludlow Hotel, and Moxy NYC Hotel. The Saint Marks Hotel has long been known for its more taboo guests, which include no shortage of prostitutes and drug dealers, as seen on the HBO special Dope Sick Love. Guests can stay at the hotel at a cost as low as $150 (Queen size bed $150). The price is about half of what a tourist would find around the corner at the previously mentioned establishments. The issue is, what do clients have to sacrifice in order to save that money? The interior of the hotel, along with the exterior, is in need of a major face-lift. Rebranding and renovating the hotel, while also offering something that current NYC hotels do not, will be extremely beneficial to the neighborhood, city and visitors.

Comps

Competitor Room Rates (directly sourced)	1 Queen	2 Full	Suite
The Standard East Village	369-415	619-725	700-1000
The Bowery Hotel	395-625	x	695-855
The Ludlow Hotel	265-405	445	450
Moxy NYC Hotel	189-300	195-400	x
East Village Hotel	242	x	309
Average Hotel Rates	**$356.11**	**$476.80**	**$668.17**

Various landmarks surround **HOTEL+**, on the east face you will find the Hamilton-Holly House characterized as a Baroque Style townhouse. On the south side, The First Ukranian Assembly of God designed by architect Carl Pfeiffer with a French Second Empire style. On the west side across the street is the National Historic Landmark Copper Union by architect Fred A. Petersen with

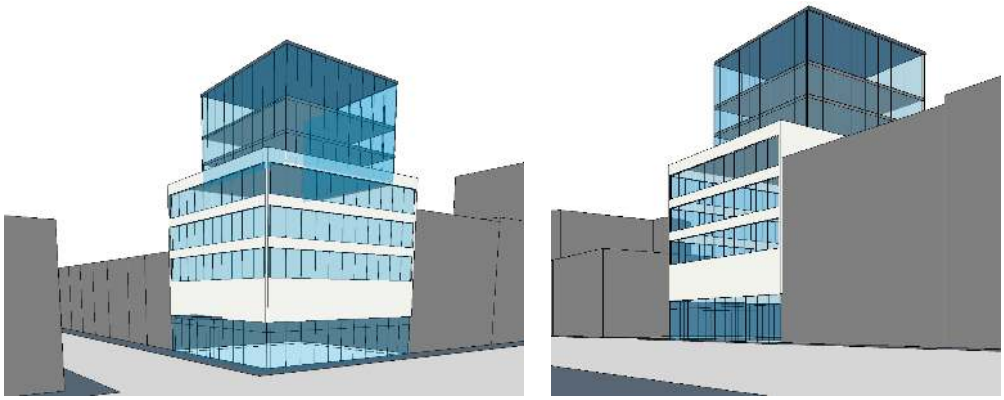
an Italianate brownstone design. The north side of **HOTEL+** is currently a luxury condo development.

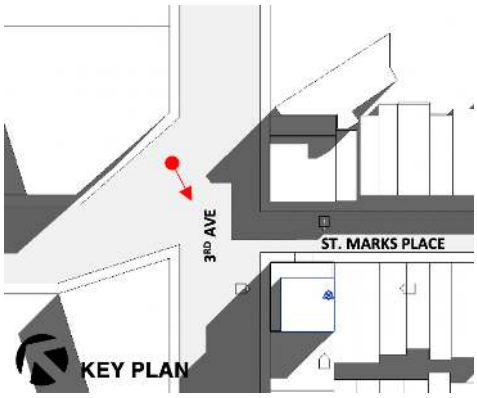
Existing Saint Marks Hotel

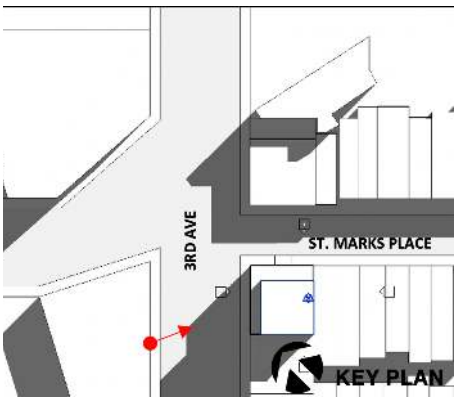


The proposal is on demolishing the entire hotel with the purpose of redeveloping 71 Cooper Square from a 4-story hotel with ground floor retail to a LEED certified building preserving historic feature with median height 6-story steel bracing and concrete structure safe Hotel with a fully functional restaurant on the ground floor and a rooftop garden on the 6th floor. The construction phase will last 12 to 18 months with a targeted opening date of June 2025.

Hotel+ Renderings







HOTEL+ will have a total of 60 keys which will include 25 rooms with a queen size bed and office space, 25 rooms with 2 full size beds and office space, and 10 suites fully. The size of the rooms will average 400 square feet. These factors a higher 21% for common areas on each hotel floor (e.g. elevator, utilities, and hallways). The interior room features will have a modern white safe industrial feel, with LED and UV lighting, smart-shade windows to improve the sustainability of the building, quality healthy air supply systems, all touchless devices. The ground floor will include a lobby and fully functional restaurant. We intend on opening the lobby to increase the square footage to 3,500 square feet. The restaurant will consume the rest of the floor. The entrance of the restaurant will be through the lobby to minimize the use of space by the restaurant.

FLOOR AREA CALCULATIONS					
Floor	Ht	Elevation	Common Space	NSF - Hotel Room Floors Only)	GSF
6	10	55	21%	4,898	6,200
5	10	45	21%	4,898	6,200
4	10	35	21%	4,898	6,200
3	10	25	21%	4,898	6,200
2	10	15	21%	4,898	6,200
Lobby + Restaurants	15	0	*NA*	*NA*	6,200
Total				**24,490**	**37,200**
Total Keys				**60**	
Total Square Foot Per Key				**408**	

If anything is certain in this time of uncertainty, it is that New York does not need another upscale hotel that cannot function in cases of a pandemic. What the city does need, is a hotel that could function normally during less chaotic times as well as remain open and function during more chaotic times, as we are living in now. By equipping the Saint Marks Hotel with top of the line safety features, disinfectant and social distancing in mind, the hotel can remain open and functioning for essential workers and guests during any pandemic. For example, one current issue is that guests do not want to touch light switches or doorknobs that have previously been handled by thousands of strangers. With this in mind,

the new and improved “safe” hotel can be equipped with touchless light switches and doors. Another issue to be addressed are the staff. In order to keep not only the guests safe, but staff as well, the hotel can begin a new way of interacting with guests that will keep social distancing in mind. For example, when checking in, there must be a barrier between staff and guest. This can be as simple as installing barriers at all desk stations, along with making everything digital. With today’s smart phones, there is really no need to be passing room keys out or making you sign your invoice in person upon check out. Times are changing and there is no room to go backward, only forward. **Hotel +** would be a huge leap for hospitality in the right direction.